



Australia Savings Vehicles

Superannuation account

Superannuation or just **super** is the term for retirement pension benefit funds. Employees pay deductions from their wage or salary and employers make similar regular contributions. Most employees contribute to large funds, either industry funds run jointly by unions and employers, or retail funds managed by financial institutions. More than a million Australians have a self-managed superannuation fund.

Superannuation is compulsory for all people working and residing in Australia who earn more than AUD450 per month. The balance of a person's superannuation account, or for many people, accounts, is then used to provide an income stream when retiring. Federal law dictates minimum amounts that employers must contribute to the super accounts of their employees, on top of standard wages or salaries.

The Australian Government outlines a set percentage of employees income that should be paid into a super account. Since July 2002, this rate has increased from 9 per cent to 10 per cent in July 2021, and will stop increasing at 12 per cent in July 2025. Employees are also encouraged to supplement compulsory superannuation contributions with voluntary contributions, including diverting their wages or salary income into superannuation contributions under so-called salary sacrifice arrangements.

An avoidable issue with Australia's superannuation system is employees failing to consolidate multiple accounts, thus being charged multiple account fees. Of Australia's 15 million superannuation fund members, 40% have multiple accounts, which collectively costs them \$2.6 billion in additional fees each year. The federal budget estimates put the number of unnecessary duplicate accounts at 10 million. Plans are in place to facilitate consolidation of these accounts. An individual can withdraw funds out of a superannuation fund when the person meets one of the conditions of release, such as retirement, terminal medical condition, or permanent incapacity, contained in Schedule 1 of the *Superannuation Industry (Supervision) Regulations 1994*. As of July 1, 2018, members have also been able to withdraw voluntary contributions made as part of the First Home Super Saver Scheme (FHSS).

The first home super saver (FHSS) scheme allows you to save money for your first home inside your super fund. This will help first home buyers save faster with the concessional tax treatment of superannuation.



Education Savings Fund

The Australian Unity Education Savings Fund was established specifically to help parents, grandparents, guardians and students save for education costs.

Most people saving for a child's education don't know exactly how much they will need, or the direction a child's future will take. The Education Savings Fund is designed to give you the flexibility to adjust your investment when circumstances change, while also providing the opportunity for a return on your investment.

This is a product for individuals seeking a long term, tax-effective way of saving for the future costs of education for a nominated student beneficiary.

The product benefits from its classification under Australian tax law as a 'scholarship plan', allows the student beneficiary to benefit from tax concessions where investment earnings are used to pay for education related expenses.